



Microsoft Corporation (MSFT)

Intrinsic Value Analysis - Discounted Cash Flow Model

Table of Contents

[Exec. Summary](#)
[Assumptions](#)
[IS_Historical](#)
[BS_Historical](#)
[CF_Historical](#)
[IS_Forecast](#)
[WC_Schedule](#)
[CapEx_Schedule](#)
[FCFF_Build](#)
[WACC](#)
[DCF_Engine](#)
[EV_Bridge](#)
[Sensitivity](#)

Ticker: MSFT - NASDAQ
Valuation Date: 30/06/2025
Prepared by: Manuel Carvalhinha
Analysis Date: May 2026

DISCLAIMER: This analysis is prepared for educational and portfolio purposes only. It does not constitute investment advice or a solicitation to buy or sell securities.



Microsoft Corporation (MSFT: NASDAQ)

Prepared by: Manuel Carvalhinha

Discounted Cash Flow - Intrinsic Value Analysis

Valuation Date: 30 June 2025 | Analysis Date: May 2026

BASE CASE IMPLIED SHARE PRICE

Label	Value
GGM Method	385
Exit Multiple Method	574
Current Market Price	497
GGM vs. Current Price	-23%
Verdict	OVERVALUED

SCENARIO RANGE

Label	Bear Case	Base Case	Bull Case
Revenue CAGR FY26-30	9,15%	11,15%	13,14%
EBIT Margin FY30	44,00%	46,00%	48,00%
CapEx % Revenue FY30	22,00%	12,50%	11,00%
Terminal Growth Rate	2,00%	3,00%	3,50%
Exit EV/EBITDA Multiple	16 x	20 x	24 x
Implied Share Price (GGM)	222	385	494
Implied Share Price (Multiple)	411	574	764
GGM vs. Current Price	-55%	-23%	-1%
Verdict	OVERVALUED	OVERVALUED	FAIRLY VALUED

KEY ASSUMPTIONS (BASE CASE)

Label	Value
Revenue CAGR FY26-30	11,15%
EBIT Margin FY30	46,00%
WACC	8,12%
Terminal Growth Rate	3,00%
Exit EV/EBITDA Multiple	20 x
TV as % of EV (GGM)	83,10%
Net Debt / (Cash)	(40 282)

BASE CASE IMPLIED SHARE PRICE (GORDON GROWTH METHOD)

TABLE 1 - IMPLIED SHARE PRICE (USD): WACC vs. TERMINAL GROWTH RATE (GORDON GROWTH METHOD)

	2,00%	2,50%	3,00%	3,50%	4,0%
7,12%	399	436	482	542	619
7,62%	362	392	429	474	532
8,12%	331	356	385	421	466
8,62%	305	325	350	379	414
9,12%	282	300	320	344	372

INVESTMENT THESIS

Microsoft's cloud transition has structurally re-rated its margin profile, with EBIT margins expanding from 37% in FY2021 to 45.6% in FY2025. The current period of elevated CapEx reflects deliberate AI infrastructure investment, temporarily suppressing FCF conversion.

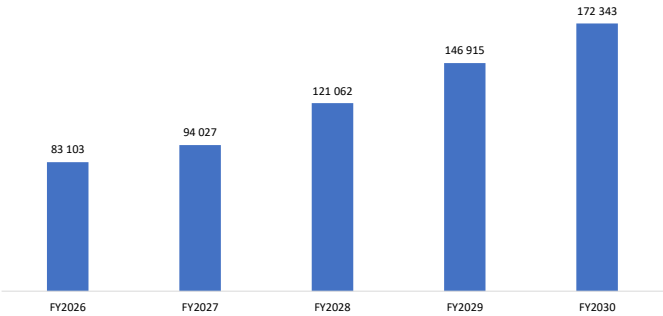
Azure's ~19% revenue growth trajectory and the Copilot monetization ramp in the Productivity segment provide two durable, visible growth vectors over the forecast horizon.

As data center buildout normalizes post-FY2027, FCFF is forecast to expand sharply - from ~\$85B in FY2026 to ~\$172B in FY2030 - representing the core bull thesis for long-term holders.

The primary valuation method is the Gordon Growth Model, which implies a base-case intrinsic value of \$385 per share - a 23% discount to the June 2025 market price of \$497. The Exit Multiple method (\$574) serves as a cross-check, anchoring to current market pricing of mature cash flows rather than long-run fundamentals. On the primary GGM basis, Microsoft appears overvalued at the valuation date.

Risk	Note
AI Infrastructure Cost	CapEx may remain elevated beyond FY2027 if Azure demand accelerates
Competitive Pressure	Google Cloud and AWS competing aggressively on price and features
Regulatory / Antitrust	EU and US scrutiny of AI partnerships (OpenAI) and bundling practices
FX Headwinds	~50% of revenue from international markets; USD strength reduces reported revenue

Forecast FCFF (\$M) - FY2026E to FY2030E



DISCLAIMER: This analysis is prepared for educational and portfolio purposes only. It does not constitute investment advice or a solicitation to buy or sell securities.



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION (MSFT) - MODEL ASSUMPTIONS

All figures in USD millions unless stated

Driver Switch

SECTION A - REVENUE GROWTH ASSUMPTIONS

Label	Active Case	Bear Case	Base Case	Bull Case	Justification/Source
Productivity & BP - FY26 Growth	12,50%	10,50%	12,50%	14,50%	Microsoft 365 Copilot ramp; FY25 actual 13,2% 2Y CAGR
Productivity & BP - FY27 Growth	11,00%	9,00%	11,00%	13,00%	Base effect growth; Copilot penetration broadening
Productivity & BP - FY28 Growth	10,00%	8,00%	10,00%	12,00%	Gradual deceleration toward mature growth
Productivity & BP - FY29 Growth	9,00%	7,00%	9,00%	11,00%	Market saturation in Office 365 core
Productivity & BP - FY30 Growth	8,00%	6,00%	8,00%	10,00%	Conservative terminal approach to revenue
Intelligent Cloud - FY26 Growth	19,00%	17,00%	19,00%	21,00%	Azure ~35% growth trend; AI workload tailwinds
Intelligent Cloud - FY27 Growth	17,00%	15,00%	17,00%	19,00%	Hyperscaler competition; OpenAI integration benefit
Intelligent Cloud - FY28 Growth	15,00%	13,00%	15,00%	17,00%	Market share stabilization at scale
Intelligent Cloud - FY29 Growth	13,00%	11,00%	13,00%	15,00%	Normalization to industry cloud growth rate
Intelligent Cloud - FY30 Growth	11,00%	9,00%	11,00%	13,00%	Structural growth above GDP due to cloud mix
More Personal Computing - FY26 Growth	6,00%	4,00%	6,00%	8,00%	Xbox + Bing/Copilot; hardware modest tailwind
More Personal Computing - FY27 Growth	5,00%	3,00%	5,00%	7,00%	PC cycle normalization
More Personal Computing - FY28 Growth	5,00%	3,00%	5,00%	7,00%	Stable search + gaming revenue
More Personal Computing - FY29 Growth	4,00%	2,00%	4,00%	6,00%	Secular PC hardware pressure persists
More Personal Computing - FY30 Growth	4,00%	2,00%	4,00%	6,00%	Conservative; gaming offsets hardware decline

SECTION B - MARGIN & PROFITABILITY ASSUMPTIONS

Label	Active Case	Bear Case	Base Case	Bull Case	Justification/Source
Gross Margin %	69,00%	67,00%	69,00%	71,00%	FY25 actual 68,8%; slight Cloud mix uplift
R&D % Revenue	11,50%	11,50%	11,50%	11,50%	FY25 actual 11,2%; modest AI investment uplift
SG&A % Revenue	11,50%	11,50%	11,50%	11,50%	FY25 actual 11,7%; scale leverage over time
Effective Tax Rate	18,00%	18,00%	18,00%	18,00%	3Y avg: FY23 18,8%, FY24 17,6%, FY25 17,6%

SECTION C - CAPEX & DEPRECIATION ASSUMPTIONS

Label	Active Case	Bear Case	Base Case	Bull Case	Justification/Source
CapEx % Revenue - FY26	22,00%	22,00%	22,00%	22,00%	Continued Azure AI infra build; mgmt guidance
CapEx % Revenue - FY27	22,00%	22,00%	22,00%	20,00%	Peak investment year; data center completions
CapEx % Revenue - FY28	18,00%	22,00%	18,00%	16,00%	Normalization begins as buildout winds down
CapEx % Revenue - FY29	15,00%	22,00%	15,00%	13,00%	Return toward FY2022 - 2023 historical range
CapEx % Revenue - FY30	12,50%	22,00%	12,50%	11,00%	Steady-state; consistent with pre-AI capex baseline
D&A % Revenue	12,00%	12,00%	12,00%	12,00%	FY25 actual 12,1%; lag effect of current capex cycle

SECTION D - WORKING CAPITAL ASSUMPTIONS

Label	Active Case	Bear Case	Base Case	Bull Case	Justification/Source
Days Sales Outstanding (DSO)	82 Days	82 Days	82 Days	82 Days	FY25 historical average from 10-K
Days Payable Outstanding (DPO)	95 Days	95 Days	95 Days	95 Days	FY25 historical average from 10-K
Days Inventory Outstanding (DIO)	0 Days	0 Days	0 Days	0 Days	Software company; no physical inventory

SECTION E - MARKET DATA & EV BRIDGE INPUTS

Label	Active Case	Bear Case	Base Case	Bull Case	Justification/Source
Share Price (\$)	497	497	497	497	Yahoo Finance / Bloomberg as of valuation date
Diluted Shares Outstanding (Million Shares)	7 434	7 434	7 434	7 434	FY2025 10-K, diluted weighted average
Market Cap	3 697 746	3 697 746	3 697 746	3 697 746	Shares x Price
Total Debt (Book Value)	54 283	54 283	54 283	54 283	FY2025 balance sheet: ST + LT debt
Cash & Short-Term Investments	94 565	94 565	94 565	94 565	FY2025 balance sheet
Net Debt / (Net Cash)	(40 282)	(40 282)	(40 282)	(40 282)	Negative = net cash position (expected for MSFT)
Minority Interest	0	0	0	0	Not material for Microsoft

SECTION F - WACC INPUTS

Label	Active Case	Bear Case	Base Case	Bull Case	Justification/Source
Risk-Free Rate (Rf)	4,42%	4,42%	4,42%	4,42%	10Y US Treasury yield; FRED as of valuation date
Equity Risk Premium (ERP)	4,18%	4,18%	4,18%	4,18%	Damodaran implied ERP - updated annually
Beta (β)	0,90	0,90	0,90	0,90	5Y weekly regression vs. S&P 500, re-levered
Cost of Equity (Ke)	8,18%	8,18%	8,18%	8,18%	CAPM: Rf + β x ERP
Pre-tax Cost of Debt (Kd)	4,77%	4,77%	4,77%	4,77%	YTM estimate from MSFT long-term bond yields
After-tax Cost of Debt	3,91%	3,91%	3,91%	3,91%	Kd x (1 - Tax Rate) - links to Section B
Debt Weight	1,45%	1,45%	1,45%	1,45%	Total Debt / (Market cap + Total debt)
Equity Weight	98,55%	98,55%	98,55%	98,55%	Formula: 1 - debt weight
WACC	8,12%	8,12%	8,12%	8,12%	WACC formula

SECTION G - TERMINAL VALUE ASSUMPTIONS

Label	Active Case	Bear Case	Base Case	Bull Case	Justification (Base Case)/Source
Terminal Growth Rate (g)	3,00%	2,00%	3,00%	3,50%	100 bps higher than average long-run US nominal GDP (conservative)
WACC – g Spread	5,12%	6,12%	5,12%	4,62%	MUST BE POSITIVE - model breaks if negative
Exit EV/EBITDA Multiple	20 x	16 x	20 x	24 x	Midpoint of peer range 18-24x
Forecast Period (years)	5 Years	5 Years	5 Years	5 Years	Standard DCF convention



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - HISTORICAL INCOME STATEMENT (FY2021 - FY2025)

All figures in USD millions unless stated

Source: Microsoft Corporation 10-K Annual Reports FY2021 - FY2025.

INCOME STATEMENT (FY2021 - FY2025)

Label	FY2021	FY2022	FY2023	FY2024	FY2025
Productivity & Business Processes	53 915	63 364	94 151	106 820	120 810
Intelligent Cloud	60 080	75 251	72 944	87 464	106 265
More Personal Computing	54 093	59 655	44 820	50 838	54 649
Total Revenue	168 088	198 270	211 915	245 122	281 724
YoY Growth %	-	17,96%	6,88%	15,67%	14,93%
Cost of Revenue	52 232	62 650	65 863	74 114	87 831
Gross Profit	115 856	135 620	146 052	171 008	193 893
Gross Margin %	68,93%	68,40%	68,92%	69,76%	68,82%
Research & Development	20 716	24 512	27 195	29 510	32 488
R&D % Revenue	12,32%	12,36%	12,83%	12,04%	11,53%
Sales General & Administrative	25 224	27 725	30 334	32 065	32 877
SG&A % Revenue	15,01%	13,98%	14,31%	13,08%	11,67%
Operating Income	69 916	83 383	88 523	109 433	128 528
Operating Income Margin %	41,59%	42,06%	41,77%	44,64%	45,62%
Depreciation & Amortization	11 686	14 460	13 861	22 287	34 153
D&A % Revenue	6,95%	7,29%	6,54%	9,09%	12,12%
EBITDA	81 602	97 843	102 384	131 720	162 681
EBITDA Margin %	48,55%	49,35%	48,31%	53,74%	57,74%
Interest and Other Income	1 186	333	788	(1 646)	(4 901)
Income Before Tax	71 102	83 716	89 311	107 787	123 627
Income Tax Expense	9 831	10 978	16 950	19 651	21 795
Effective Tax Rate	13,83%	13,11%	18,98%	18,23%	17,63%
Net Income	61 271	72 738	72 361	88 136	101 832
Net Margin %	36,45%	36,69%	34,15%	35,96%	36,15%



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - HISTORICAL BALANCE SHEET (FY2021 - FY2025)

All figures in USD millions unless stated

Source: Microsoft Corporation 10-K Annual Reports FY2021 - FY2025.

BALANCE SHEET (FY2021 - FY2025)

Label	FY2021	FY2022	FY2023	FY2024	FY2025
ASSETS					
Cash & Equivalents	14 224	13 931	34 704	18 315	30 242
Short-Term Investments	116 110	90 826	76 558	57 228	64 323
Total Cash & ST Investments	130 334	104 757	111 262	75 543	94 565
Accounts Receivable (net)	38 043	44 261	48 688	56 924	69 905
Inventories	2 636	3 742	2 500	1 246	938
Other Current Assets	13 393	16 924	21 807	26 021	25 723
Total Current Assets	184 406	169 684	184 257	159 734	191 131
Net PP&E	59 715	74 398	95 641	135 591	204 966
Goodwill	49 711	67 524	67 886	119 220	119 509
Other Long-Term Assets	39 947	53 234	64 192	97 618	103 397
Total Assets	333 779	364 840	411 976	512 163	619 003
LIABILITIES AND STOCKHOLDERS' EQUITY					
Accounts Payable	15 163	19 000	18 095	21 996	27 724
Short-Term Debt	0	0	0	6 693	0
Other Current Liabilities	73 494	76 082	86 054	96 597	113 494
Total Current Liabilities	88 657	95 082	104 149	125 286	141 218
Long-Term Debt	50 074	47 032	41 990	42 688	40 152
Other Long-Term Liabilities	53 060	56 184	59 614	75 712	94 154
Total Liabilities	191 791	198 298	205 753	243 686	275 524
Total Debt	50 074	47 032	41 990	49 381	40 152
Net Debt / (Net Cash)	(80 260)	(57 725)	(69 272)	(26 162)	(54 413)
Total Equity	141 988	166 542	206 223	268 477	343 479
Diluted Shares Outstanding (M)	7 608	7 540	7 472	7 434	7 434



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - HISTORICAL CASH FLOW STATEMENT (FY2021 - FY2025)

All figures in USD millions unless stated

Source: Microsoft Corporation 10-K Annual Reports FY2021 - FY2025.

CASH FLOW STATEMENT (FY2021 - FY2025)

Label	FY2021	FY2022	FY2023	FY2024	FY2025
OPERATING ACTIVITIES					
Net Income	61 271	72 738	72 361	88 136	101 832
D&A	11 686	14 460	13 861	22 287	34 153
Stock-Based Compensation	6 118	7 502	9 611	10 734	11 974
Changes in Working Capital	1 121	2 426	(108)	7 892	(1 425)
Other Operating Items	(3 456)	(8 091)	(8 143)	(10 501)	(10 372)
Operating Cash Flow	76 740	89 035	87 582	118 548	136 162
INVESTING ACTIVITIES					
Capital Expenditures	(20 622)	(23 886)	(28 107)	(44 477)	(64 551)
Acquisitions (net)	(8 909)	(22 038)	(1 670)	(69 132)	(5 978)
Other Investing	1 954	15 613	7 097	16 639	(2 070)
Investing Cash Flow	(27 577)	(30 311)	(22 680)	(96 970)	(72 599)
FINANCING ACTIVITIES					
Share Buybacks	(27 385)	(32 696)	(22 245)	(17 254)	(18 420)
Dividends Paid	(16 521)	(18 135)	(19 800)	(21 771)	(24 082)
Debt Issuance / (Repayment)	(4 580)	(8 045)	(1 890)	1 268	(9 197)
Financing Cash Flow	(48 486)	(58 876)	(43 935)	(37 757)	(51 699)
Effect of foreign exchange rates	(29)	(141)	(194)	(210)	63
Net Change in Cash	648	(293)	20 773	(16 389)	11 927
FCF Check	TRUE	TRUE	TRUE	TRUE	TRUE
FCF Margin %	33,39%	32,86%	28,07%	30,22%	25,42%



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - FORECASTED INCOME STATEMENT (FY2026 - FY2030)

All figures in USD millions unless stated

FORECASTED INCOME STATEMENT (FY2026 - FY2030)

Label	FY2026	FY2027	FY2028	FY2029	FY2030
Productivity & Business Processes	135 911	150 861	165 948	180 883	195 354
Intelligent Cloud	126 455	147 953	170 146	192 265	213 414
More Personal Computing	57 928	60 824	63 866	66 420	69 077
Total Revenue	320 295	359 639	399 959	439 568	477 844
YoY Growth %	12,04%	10,94%	10,08%	9,01%	8,01%
Cost of Revenue	99 291	111 488	123 987	136 266	148 132
Gross Profit	221 003	248 151	275 972	303 302	329 713
Gross Margin %	69,00%	69,00%	69,00%	69,00%	69,00%
Research & Development	36 834	41 358	45 995	50 550	54 952
R&D % Revenue	11,5%	11,5%	11,5%	11,5%	11,5%
Sales General & Administrative	36 834	41 358	45 995	50 550	54 952
SG&A % Revenue	11,5%	11,5%	11,5%	11,5%	11,5%
Operating Income (EBIT)	147 335	165 434	183 981	202 201	219 808
EBIT Margin %	46,00%	46,00%	46,00%	46,00%	46,00%
Taxes on EBIT	26 520	29 778	33 117	36 396	39 566
NOPAT	120 815	135 656	150 864	165 805	180 243
NOPAT Margin %	37,72%	37,72%	37,72%	37,72%	37,72%
D&A	38 435	43 157	47 995	52 748	57 341
EBITDA	185 771	208 590	231 976	254 949	277 150
EBITDA Margin %	58,00%	58,00%	58,00%	58,00%	58,00%

Label	Value
EBIT Margin % FY30	46,00%
Revenue CAGR FY26-30	11,15%
EBITDA Margin % FY30	58,00%
Gross Margin drift	0,18%



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - NET WORKING CAPITAL SCHEDULE (FY2026 - FY2030)

All figures in USD millions unless stated

NET WORKING CAPITAL SCHEDULE (FY2026 - FY2030)

Label	FY2025 (Hist.)	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue (reference)	281 724	320 295	359 639	399 959	439 568	477 844
DSO (days)	82	82	82	82	82	82
Accounts Receivable	63 291	71 957	80 796	89 854	98 752	107 351
COGS (reference)	87 831	99 291	111 488	123 987	136 266	148 132
DPO (days)	95	95	95	95	95	95
Accounts Payable	22 860	25 843	29 017	32 271	35 466	38 555
Net Working Capital	40 431	46 114	51 778	57 583	63 286	68 796
NWC % Revenue	14,35%	14,40%	14,40%	14,40%	14,40%	14,40%
Δ NWC (Change)	-	5 682	5 664	5 805	5 703	5 511



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - CAPEX & DEPRECIATION SCHEDULE (FY2026 - FY2030)

All figures in USD millions unless stated

CAPEX & DEPRECIATION SCHEDULE (FY2026 - FY2030)

Label	FY2025 (Hist.)	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue (reference)	281 724	320 295	359 639	399 959	439 568	477 844
CapEx % Revenue	22,91%	22,00%	22,00%	18,00%	15,00%	12,50%
Gross CapEx	64 551	70 465	79 120	71 993	65 935	59 731
D&A % Revenue	12,12%	12,00%	12,00%	12,00%	12,00%	12,00%
D&A	34 153	38 435	43 157	47 995	52 748	57 341
Opening Net PP&E	-	204 966	236 995	272 959	296 957	310 144
+ CapEx	-	70 465	79 120	71 993	65 935	59 731
- D&A	-	38 435	43 157	47 995	52 748	57 341
Closing Net PP&E	204 966	236 995	272 959	296 957	310 144	312 533
CapEx (for FCFF)	-	70 465	79 120	71 993	65 935	59 731
D&A (for FCFF)	-	38 435	43 157	47 995	52 748	57 341
Net CapEx (CapEx - D&A)	-	32 029	35 964	23 998	13 187	2 389
Net CapEx % Revenue	-	10,00%	10,00%	6,00%	3,00%	0,50%



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - FREE CASH FLOW TO FIRM (FCFF) BUILD (FY2026 - FY2030)

All figures in USD millions unless stated

FREE CASH FLOW TO FIRM (FCFF) BUILD (FY2026 - FY2030)

Label	FY2026	FY2027	FY2028	FY2029	FY2030
EBIT	147 335	165 434	183 981	202 201	219 808
Tax on EBIT	26 520	29 778	33 117	36 396	39 566
NOPAT	120 815	135 656	150 864	165 805	180 243
NOPAT Margin %	37,7%	37,7%	37,7%	37,7%	37,7%
+ Depreciation & Amortization	38 435	43 157	47 995	52 748	57 341
- Δ Net Working Capital	5 682	5 664	5 805	5 703	5 511
- Capital Expenditures	70 465	79 120	71 993	65 935	59 731
FCFF	83 103	94 027	121 062	146 915	172 343
FCFF Margin %	25,9%	26,1%	30,3%	33,4%	36,1%
FCFF / NOPAT conversion	68,8%	69,3%	80,2%	88,6%	95,6%



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - WACC CALCULATION

COST OF EQUITY (CAPM)

Label	Value
Risk-Free Rate (Rf)	4,42%
Equity Risk Premium (ERP)	4,18%
Beta (β)	0,90
Cost of Equity (Ke)	8,18%

COST OF DEBT

Label	Value
Pre-tax Cost of Debt (Kd)	4,77%
Effective Tax Rate	18,00%
After-tax Cost of Debt	3,91%

CAPITAL STRUCTURE WEIGHTS

Label	Value
Current Share Price (\$)	497,41
Diluted Shares (M)	7 434
Market Cap (\$M)	3 697 746
Total Debt (book)	54 283
Total Capital	3 752 029
Equity Weight	98,6%
Debt Weight	1,4%

WACC OUTPUT

WACC	8,12%
Ke contribution	8,06%
Kd contribution	0,06%
Cross-check vs. Assumptions	8,12%

✓ WACC consistent



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - DCF VALUATION ENGINE

All figures in USD millions unless stated

FCFF DISCOUNT SCHEDULE

Label	FY2026	FY2027	FY2028	FY2029	FY2030
FCFF (\$M)	83 103	94 027	121 062	146 915	172 343
Discount Period	1	2	3	4	5
WACC	8,12%	8,12%	8,12%	8,12%	8,12%
Discount Factor	0,92	0,86	0,79	0,73	0,68
PV of FCFF	76 862	80 434	95 783	107 508	116 643

Sum of PV(FCFFs)	477 229
------------------	---------

TERMINAL VALUE (METHOD 1: GORDON GROWTH)

Label	Value
Terminal Year FCFF	172 343
Terminal Growth Rate (g)	3,00%
WACC	8,12%
Terminal Value (GGM)	3 466 908
Discount Factor (Year 5)	0,68
PV of Terminal Value (GGM)	2 346 431
Sum PV(FCFFs)	477 229
Enterprise Value — GGM	2 823 661
TV as % of EV (GGM)	83,10%

TERMINAL VALUE (METHOD 2: EV/EBITDA MULTIPLE)

Label	Value
Year 5 EBITDA	277 150
Exit EV/EBITDA Multiple	20 x
Discount Factor (Year 5)	0,68
Terminal Value (Exit Multiple)	5 542 993
PV of Terminal Value (Multiple)	3 751 542
Sum PV(FCFFs)	477 229
Enterprise Value - Exit Multiple	4 228 772
TV as % of EV (Multiple)	88,71%



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - ENTERPRISE VALUE TO EQUITY VALUE BRIDGE

All figures in USD millions unless stated

ENTERPRISE VALUE TO EQUITY VALUE BRIDGE

Label	GGM Method	Exit Multiple	Notes
Enterprise Value	2 823 661	4 228 772	From DCF_Engine
(-) Total Debt	(54 283)	(54 283)	Book value per FY2025 10-K
(-) Minority Interest	0	0	Not material for MSFT
(+) Cash & ST Investments	94 565	94 565	FY2025 balance sheet
Equity Value	2 863 943	4 269 054	-
Diluted Shares Outstanding (M)	7 434	7 434	-
Implied Share Price (USD)	385	574	-
Current Market Price (USD)	497	497	Live input from Assumptions
Implied Upside / (Downside)	-23%	15%	% vs. current price
Implied Premium / Discount	OVERVALUED	UNDERVALUED	-

SCENARIO ANALYSIS

Label	Bear Case	Base Case	Bull Case
Revenue CAGR FY26-30	9,15%	11,15%	13,14%
EBIT Margin FY30	44,00%	46,00%	48,00%
CapEx % Revenue FY30	22,00%	12,50%	11,00%
Terminal Growth Rate	2,00%	3,00%	3,50%
Exit EV/EBITDA Multiple	16 x	20 x	24 x
Implied Share Price (GGM)	222	385	494
Implied Share Price (Multiple)	411	574	764
GGM vs. Current Price	-55%	-23%	-1%
Verdict	OVERVALUED	OVERVALUED	FAIRLY VALUED



Microsoft Corporation (MSFT)

MICROSOFT CORPORATION - SENSITIVITY ANALYSIS

IMPLIED SHARE PRICE (GORDON GROWTH METHOD)

Label	Value
Active Case Terminal Growth Rate	3,00%
WACC	8,12%
Active Case Share Price	385

TABLE 1 - IMPLIED SHARE PRICE (USD): WACC vs. TERMINAL GROWTH RATE (GORDON GROWTH METHOD)

	2,00%	2,50%	3,00%	3,50%	4,0%
7,12%	399	436	482	542	619
7,62%	362	392	429	474	532
8,12%	331	356	385	421	466
8,62%	305	325	350	379	414
9,12%	282	300	320	344	372

IMPLIED SHARE PRICE (EV/EBITDA EXIT MULTIPLE METHOD)

Label	Value
Active Case Terminal Growth Rate	20 x
WACC	8,12%
Active Case Share Price	574

TABLE 2 - IMPLIED SHARE PRICE (USD): WACC vs. EV/EBITDA EXIT MULTIPLE

	16	18	20	22	24
7,12%	494	547	600	653	706
7,62%	484	535	587	639	690
8,12%	473	524	574	625	675
8,62%	463	512	562	611	660
9,12%	453	501	550	598	646

KEY SENSITIVITY OBSERVATIONS

Terminal growth rate is the dominant variable - a 200bps move in g at base-case WACC produces a \$135/share range (\$331-\$466).
WACC is the second most sensitive input - a 200bps increase at base-case g of 3,0% compresses implied price by \$162/share (\$482 - \$320).
The exit multiple cross-check at 20x implies \$574, sitting above the upper end of the GGM base-case WACC range, consistent with current market pricing embedding a growth premium not captured in the GGM's long-run normalisation assumption.
The base case (WACC 8,12%, g 3%) implies 23% (GGM) downside to the market price of \$497.